WEALTH IN YOURSELF

The Real Estate Investor's Tax Strategy Checklist

16 questions your advisory team should be answering.

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Are you leaving money on the table? Most real estate investors are — and they don't know it until someone runs the numbers. This checklist covers the tax strategies that separate sophisticated investors from everyone else. It's not advice — it's a conversation starter between you and your advisory team.

How to use this: Check each box you can answer “yes” to. Every unchecked box is a conversation to have with your team.

1031 Exchanges

- [ ] **Do you have a 1031 exchange strategy for your next property sale?** A 1031 exchange lets you defer capital gains taxes by reinvesting sale proceeds into a like-kind property. The rules are strict — 45-day identification window, 180-day closing deadline — and missing either one means you pay the full tax bill.
- [ ] **Have you evaluated a Reverse 1031 exchange?** If you find the replacement property before selling, a reverse exchange lets you acquire first and sell second. More expensive, but removes the 45-day pressure.
- [ ] **Do you have a Qualified Intermediary relationship established?** You cannot touch the proceeds yourself — a QI must hold them. Setting this up during a transaction is stressful. Having a QI in place before you list is a best practice most investors skip.

Cost Segregation

- [ ] **Have you run a cost segregation study on every property you own?** Cost segregation reclassifies building components into shorter depreciation categories (5, 7, or 15 years instead of 27.5 or 39). The result: accelerated depreciation deductions that can dramatically reduce your taxable income.
- [ ] **Are you aware of the current bonus depreciation rules?** Bonus depreciation is 100% again for most qualifying property acquired and placed in service after January 19, 2025, under the One Big Beautiful Bill Act (OBBBA). This permanently reversed the prior phase-down schedule. Your CPA and financial planner should model acquisition timing together.

Entity Structure

- [ ] **Is your entity structure optimized for both liability protection and tax efficiency?** LLCs, S-Corps, partnerships, and holding companies all have different tax treatment. What worked at 2 properties may be costing you at 10.

- [ ] **Have you evaluated a holding company structure?** Once you own multiple properties across multiple LLCs, a parent holding company can simplify management, improve lending optics, and create tax planning flexibility.

QBI Deduction

- [ ] **Are you taking advantage of the QBI deduction on your rental income?** Section 199A can provide up to a 20% deduction on qualified business income from pass-through entities. Whether your rental activity qualifies depends on structure and time spent.

State Tax Considerations

- [ ] **Have you evaluated your state of residency from a tax perspective?** For investors with flexibility on where they live, this is one of the highest-leverage tax decisions available.

- [ ] **Are you filing in every state where you have rental income?** Many investors underfile. The penalties for not filing are typically worse than the tax owed.

Short-Term Rental Strategies

- [ ] **Are you leveraging the STR loophole for material participation?** Short-term rentals with average stays of 7 days or less are not treated as rental activity under IRC Section 469. If you materially participate, losses can offset your ordinary income.

- [ ] **Do you have documentation proving your material participation hours?** The IRS requires contemporaneous logs. A simple time-tracking habit now protects a potentially massive deduction later.

Depreciation & Recapture

- [ ] **Do you have a depreciation recapture plan for when you eventually sell?** When you sell a depreciated property, the IRS recaptures depreciation at 25% — plus capital gains on any appreciation. This tax bill surprises investors who never modeled it.

- [ ] **Have you modeled the tax impact of a sale vs. a refinance-and-hold strategy?** A cash-out refinance gives you liquidity without triggering depreciation recapture or capital gains. In many cases, the math favors holding indefinitely and refinancing instead of selling.

Your Advisory Team

- ☐ **Do you have both a CPA and a financial planner — and are they talking?** Your CPA handles compliance. Your financial planner handles strategy. You need both, and they need to coordinate. If they've never spoken, that's a problem.
- ☐ **Is your CPA proactively suggesting strategies — or just filing what you hand them?** A reactive CPA costs you money every year. If they've never mentioned cost segregation, entity restructuring, or STR material participation without you asking first, that's a gap.

How many boxes did you check?

Every unchecked box is a conversation your advisory team should be having — and money that may be walking out the door. Most RE investors we work with find \$50K–\$200K in overlooked tax savings within the first 90 days of engagement.

Book a complimentary 15-minute intro call. We'll talk about your portfolio, your team, and whether coordination is the missing piece.

Josh St. Laurent, CFP®, CFT™, APFC®, ACC, MS — Founder, Wealth In Yourself

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